Banking reserves

Banks are not allowed to loan out all the money they receive as deposits, but instead are required by law to hold a specific percentage of their deposits in reserve as hard currency, that is available to depositors.

How it works

The central bank sets the reserve requirement for commercial banks. This is the minimum percentage of total deposits that banks must hold as actual currency, in case some depositors wish to withdraw deposits as cash. Reserve amounts of hard currency may be stored in bank vaults on site, or held by the central bank in the form of deposits. The reserve amount held by a bank is usually around 10 percent of its total deposits. The remaining 90 percent of deposits, the excess reserve, can be loaned out to other customers. Freeing up capital for loans helps to create wealth in the economy. However, it also means that commercial banks would be unable to honor all withdrawals should all of its depositors try to withdraw their money as cash at the same time. This is a scenario that commercial banks count on as very unlikely; however, in such an event, they can appeal to the central bank for additional reserves. The central bank manipulates the reserve rate to influence how much money commercial banks are able to loan. In theory, a low reserve rate makes it cheaper for banks to lend, and vice versa (*see pp.100–103*). Banks are also paid interest on their reserves at the central bank.

✓ NEED TO KNOW

- **Reserve requirement or reserve ratio** The percentage of total deposits that a bank must keep in reserve as hard currency.
- **Vault cash** Hard currency kept in reserve inside a bank vault.
- **Excess reserves** The amount of a deposit remaining, once the reserve has been set aside, and which may be loaned out to other customers.
- **Deposit liabilities** Money deposited in the bank, which the bank must pay back in the future.

How fractional reserves work

A reserve rate of five percent means that a bank must retain five percent of a $100,000 deposit, that is, hold $5,000 in reserve. The depositor's account will then be credited with the full amount of $100,000 that they deposited. The bank then loans out $95,000 to another customer, crediting their account with $95,000. Now the bank holds $5,000 in cash against claims of $195,000.